Independent Accountant's Report on Applying Agreed-Upon Procedures

Draft agreed-upon procedures report; unsigned and undated; no opinion or conclusion.

To Ferncastle Bank and HANGS General Contracting LP

We performed the procedures listed below on HANGS General Contracting LP's compliance with Sections 6.1(a) and 7 of its Loan Agreement with Ferncastle Bank dated January 15, 2024, as amended, as of and for the year ended June 30, 2026. The borrower is responsible for its compliance with those sections.

Ferncastle Bank agreed to the procedures and acknowledged that they are appropriate for its purpose: helping it evaluate the borrower's compliance. This report may not suit another purpose. The procedures may not address everything a reader of this report needs, so each reader decides whether they are enough for its own purposes.

Procedures and Findings

1. Trial balance to the statements

We agreed the 40 captions of the FY2026 balance sheet, income statement and statement of partners' capital to the trial balance. We found no differences.

Total difference	**$0.00**

2. Debt schedule

We agreed the three loans to the trial balance and found no differences. From each loan's terms we recomputed current maturities of $4,250,000.00, which include $3,275,000.00 due at maturity on April 1, 2027 under the shop and yard note. Interest expense agrees with the trial balance.

Current maturities	**$4,250,000.00**
Due at maturity	**$3,275,000.00**
Interest expense	**$598,450.00**

3. Tangible Net Worth, Section 7.1

We computed Tangible Net Worth of $8,144,312.65: partners' capital less intangible assets and amounts due from affiliates. The minimum is $7,500,000.00. We found Tangible Net Worth above the minimum.

Tangible Net Worth	**$8,144,312.65**
Minimum	**$7,500,000.00**

4. Total Liabilities to Tangible Net Worth, Section 7.2

We computed 2.48 to 1.00. The maximum is 2.50 to 1.00. We found the ratio 0.02 under the maximum; Total Liabilities $134,081.63 higher would have reached it.

Ratio	**2.48 to 1.00**
Headroom in liabilities	**$134,081.63**

5. Debt Service Coverage Ratio, Section 7.3

We computed EBITDA of $4,200,012.40 and debt service of $4,848,450.00 (current maturities plus interest), a ratio of 0.87 to 1.00. The minimum is 1.25 to 1.00. We found the ratio below the minimum. Current maturities include the $3,275,000.00 due at maturity, which the definition includes.

Ratio	**0.87 to 1.00**
EBITDA	**$4,200,012.40**
Debt service	**$4,848,450.00**

6. Working Capital, Section 7.4

We computed Working Capital of $2,469,312.65 from the balance sheet's classification. The minimum is $2,000,000.00; we found it above the minimum. Current assets include retainage receivable of $3,912,450.00; the borrower's aging expects $1,344,660.00 of it after June 30, 2027. The agreement does not say whether that retainage is a Current Asset. Without it, Working Capital would be $1,124,652.65, below the minimum. We have asked the bank which reading it intends (DEF-01).

Working Capital	**$2,469,312.65**
Retainage after June 30, 2027	**$1,344,660.00**
Without that retainage	**$1,124,652.65**

7. Capital Expenditures, Section 7.5

We agreed the fixed asset register to the trial balance and totaled its FY2026 additions: $1,428,000.00. The limit is $1,750,000.00. We found Capital Expenditures under the limit.

Capital Expenditures	**$1,428,000.00**

8. Reporting deadline, Section 6.1(a)

The bank's email shows it received the FY2026 financial statements and compliance certificate on October 23, 2026. The deadline was October 28, 2026. We found them received 5 days before the deadline.

Before the deadline	**5 days**

9. Compliance certificate

We compared each amount and ratio on the borrower's certificate with procedures 3 to 7. Tangible Net Worth, the leverage ratio, Working Capital and Capital Expenditures agree. The certificate reports a Debt Service Coverage Ratio of 2.67 to 1.00 and marks Section 7.3 as met; its debt service leaves out the $3,275,000.00 due at maturity, as its footnote says.

Ratio on the certificate	**2.67 to 1.00**
Left out of debt service	**($3,275,000.00)**

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What This Report Is

We were engaged by Ferncastle Bank to perform these procedures under the attestation standards for agreed-upon procedures. We were not engaged to, and did not, perform an examination or a review, whose objective would be an opinion or a conclusion on compliance. We give neither. Had we performed more procedures, other matters might have come to our attention.

We are required to be independent of HANGS General Contracting LP and to meet our other ethical responsibilities for this engagement.

This report is for the information and use of Ferncastle Bank and HANGS General Contracting LP, and is not intended for anyone else.

Signature: none. Date: none. The engagement partner reviews the workpapers, decides every open item, obtains the borrower's written representations, and signs and dates the report. Nothing has been sent to the bank or the borrower.

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AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 1 · Statements Less Trial Balance, Added Up

$0.00

Workbook: Agree!B49

Draft figure · the engagement partner reviews it

Agree!B49 = $0.00
=SUM(D8:D47)

Agree!D8 = $0.00
=B8-C8

Agree!B8 = $4,182,652.65
=('E03 Trial Balance'!C8)

E03 Trial Balance!C8 = $4,182,652.65

Agree!C8 = $4,182,652.65
='E04 Statements'!B8

E04 Statements!B8 = $4,182,652.65

Agree!D9 = $0.00
=B9-C9

Agree!B9 = $9,846,310.00
=('E03 Trial Balance'!C9)

E03 Trial Balance!C9 = $9,846,310.00

Agree!C9 = $9,846,310.00
='E04 Statements'!B9

E04 Statements!B9 = $9,846,310.00

Agree!D10 = $0.00
=B10-C10

Agree!B10 = $3,912,450.00
=('E03 Trial Balance'!C10)

E03 Trial Balance!C10 = $3,912,450.00

Agree!C10 = $3,912,450.00
='E04 Statements'!B10

E04 Statements!B10 = $3,912,450.00
Source files and cells (the full formula chain is in the workbook and on the review screen):

FY2026 trial balance.xlsx · Trial Balance!C8, Trial Balance!C9, Trial Balance!C10, Trial Balance!C12, Trial Balance!C13, Trial Balance!C11
FY2026 financial statements.pdf · PDF pages 1-2; balance sheet, income statement, partners' capital and Notes 3 and 4

Original documents are attached to this PDF. The workbook is attached too.

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AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 2 · Current Maturities, Recomputed

$4,250,000.00

Workbook: Debt!B16

Draft figure · the engagement partner reviews it

Debt!B16 = $4,250,000.00

=C9+C13

Debt!C9 = $840,000.00

=12*'E05 Debt Schedule'!E9

E05 Debt Schedule!E9 = $70,000.00

Debt!C13 = $3,410,000.00

=C10+B12

Debt!C10 = $135,000.00

=9*'E05 Debt Schedule'!E10

E05 Debt Schedule!E10 = $15,000.00

Debt!B12 = $3,275,000.00

=B11-C10

Debt!B11 = $3,410,000.00

='E05 Debt Schedule'!J10

E05 Debt Schedule!J10 = $3,410,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

Debt schedule June 30 2026.xlsx · Debt Schedule!E9, Debt Schedule!E10, Debt Schedule!J10

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Original documents are attached to this PDF. The workbook is attached too.

AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 2 · Due at Maturity, April 1, 2027

$3,275,000.00

Workbook: Debt!B12

Draft figure · the engagement partner reviews it

Debt!B12 = $3,275,000.00

=B11-C10

Debt!B11 = $3,410,000.00

='E05 Debt Schedule'!J10

E05 Debt Schedule!J10 = $3,410,000.00

Debt!C10 = $135,000.00

=9*'E05 Debt Schedule'!E10

E05 Debt Schedule!E10 = $15,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

Debt schedule June 30 2026.xlsx · Debt Schedule!J10, Debt Schedule!E10

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Original documents are attached to this PDF. The workbook is attached too.

AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 2 · Interest Expense

$598,450.00

Workbook: Debt!B19

Draft figure · the engagement partner reviews it

Debt!B19 = $598,450.00

='E05 Debt Schedule'!M11

E05 Debt Schedule!M11 = $598,450.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

Debt schedule June 30 2026.xlsx · Debt Schedule!M11

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Original documents are attached to this PDF. The workbook is attached too.

AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 3 · Tangible Net Worth

$8,144,312.65

Workbook: Net Worth!B11

Draft figure · the engagement partner reviews it

Net Worth!B11 = $8,144,312.65

=B8+B9+B10

Net Worth!B8 = $8,564,312.65

=-'E03 Trial Balance'!C27-SUM('E03 Trial Balance'!C29:C42)-'E03 Trial Balance'!C28

E03 Trial Balance!C27 = ($7,773,750.25)

E03 Trial Balance!C29 = ($61,240,000.00)

E03 Trial Balance!C30 = ($9,815,500.00)

E03 Trial Balance!C31 = $38,412,300.00

E03 Trial Balance!C32 = $14,286,900.00

E03 Trial Balance!C33 = $612,400.00

E03 Trial Balance!C34 = $9,874,200.00

E03 Trial Balance!C35 = $1,351,800.00

E03 Trial Balance!C36 = $1,103,800.00

E03 Trial Balance!C37 = $222,000.00

E03 Trial Balance!C38 = $505,800.00

E03 Trial Balance!C39 = $486,287.60

E03 Trial Balance!C40 = $1,351,000.00

E03 Trial Balance!C41 = $60,000.00

E03 Trial Balance!C42 = $598,450.00

E03 Trial Balance!C28 = $1,400,000.00

Net Worth!B9 = ($420,000.00)

=-'E03 Trial Balance'!C18

E03 Trial Balance!C18 = $420,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

FY2026 trial balance.xlsx · Trial Balance!C27, Trial Balance!C29, Trial Balance!C30, Trial Balance!C31, Trial Balance!C32, Trial Balance!C33

Original documents are attached to this PDF. The workbook is attached too.

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AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 3 · Minimum Tangible Net Worth, Section 7.1

$7,500,000.00

Workbook: Net Worth!B12

Draft figure · the engagement partner reviews it

Net Worth!B12 = $7,500,000.00

='E02 Loan Agreement'!B8

E02 Loan Agreement!B8 = $7,500,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

Loan agreement - definitions and covenants.pdf · PDF page 1; Section 1.1 definitions, Section 6.1(a) reporting deadline and the Section 7 covenant levels

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Original documents are attached to this PDF. The workbook is attached too.

AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 4 · Total Liabilities

$20,226,700.00

Workbook: Net Worth!B18

Draft figure · the engagement partner reviews it

Net Worth!B18 = $20,226,700.00

=-SUM('E03 Trial Balance'!C19:C26)

E03 Trial Balance!C19 = ($6,214,880.00)

E03 Trial Balance!C20 = ($1,846,300.00)

E03 Trial Balance!C21 = ($412,770.00)

E03 Trial Balance!C22 = ($688,150.00)

E03 Trial Balance!C23 = ($1,954,600.00)

E03 Trial Balance!C24 = ($1,500,000.00)

E03 Trial Balance!C25 = ($4,250,000.00)

E03 Trial Balance!C26 = ($3,360,000.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

FY2026 trial balance.xlsx · Trial Balance!C19, Trial Balance!C20, Trial Balance!C21, Trial Balance!C22, Trial Balance!C23, Trial Balance!C24

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Original documents are attached to this PDF. The workbook is attached too.

AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 4 · Total Liabilities to Tangible Net Worth

2.48 to 1.00

Workbook: Net Worth!B19

Draft figure · the engagement partner reviews it

Net Worth!B19 = 2.48 to 1.00

=ROUND(B18/B11,4)

Net Worth!B18 = $20,226,700.00

=-SUM('E03 Trial Balance'!C19:C26)

E03 Trial Balance!C19 = ($6,214,880.00)

E03 Trial Balance!C20 = ($1,846,300.00)

E03 Trial Balance!C21 = ($412,770.00)

E03 Trial Balance!C22 = ($688,150.00)

E03 Trial Balance!C23 = ($1,954,600.00)

E03 Trial Balance!C24 = ($1,500,000.00)

E03 Trial Balance!C25 = ($4,250,000.00)

E03 Trial Balance!C26 = ($3,360,000.00)

Net Worth!B11 = $8,144,312.65

=B8+B9+B10

Net Worth!B8 = $8,564,312.65

=-'E03 Trial Balance'!C27-SUM('E03 Trial Balance'!C29:C42)-'E03 Trial Balance'!C28

E03 Trial Balance!C27 = ($7,773,750.25)

E03 Trial Balance!C29 = ($61,240,000.00)

E03 Trial Balance!C30 = ($9,815,500.00)

E03 Trial Balance!C31 = $38,412,300.00

E03 Trial Balance!C32 = $14,286,900.00

E03 Trial Balance!C33 = $612,400.00

E03 Trial Balance!C34 = $9,874,200.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

FY2026 trial balance.xlsx · Trial Balance!C19, Trial Balance!C20, Trial Balance!C21, Trial Balance!C22, Trial Balance!C23, Trial Balance!C24

Original documents are attached to this PDF. The workbook is attached too.

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AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 4 · Headroom Before the Maximum (LEV-01)

$134,081.63

Workbook: Net Worth!B22

Draft figure · the engagement partner reviews it

Net Worth!B22 = $134,081.63

=B21-B18

Net Worth!B21 = $20,360,781.63

=ROUND(B20*B11,2)

Net Worth!B20 = 2.50 to 1.00

='E02 Loan Agreement'!B9

E02 Loan Agreement!B9 = 2.50 to 1.00

Net Worth!B11 = $8,144,312.65

=B8+B9+B10

Net Worth!B8 = $8,564,312.65

=-'E03 Trial Balance'!C27-SUM('E03 Trial Balance'!C29:C42)-'E03 Trial Balance'!C28

E03 Trial Balance!C27 = ($7,773,750.25)

E03 Trial Balance!C29 = ($61,240,000.00)

E03 Trial Balance!C30 = ($9,815,500.00)

E03 Trial Balance!C31 = $38,412,300.00

E03 Trial Balance!C32 = $14,286,900.00

E03 Trial Balance!C33 = $612,400.00

E03 Trial Balance!C34 = $9,874,200.00

E03 Trial Balance!C35 = $1,351,800.00

E03 Trial Balance!C36 = $1,103,800.00

E03 Trial Balance!C37 = $222,000.00

E03 Trial Balance!C38 = $505,800.00

E03 Trial Balance!C39 = $486,287.60

E03 Trial Balance!C40 = $1,351,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

Loan agreement - definitions and covenants.pdf · PDF page 1; Section 1.1 definitions, Section 6.1(a) reporting deadline and the Section 7 covenant levels

FY2026 trial balance.xlsx · Trial Balance!C27, Trial Balance!C29, Trial Balance!C30, Trial Balance!C31, Trial Balance!C32, Trial Balance!C33

Original documents are attached to this PDF. The workbook is attached too.

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AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 5 · EBITDA

$4,200,012.40

Workbook: Coverage!B12

Draft figure · the engagement partner reviews it

Coverage!B12 = $4,200,012.40

=SUM(B8:B11)

Coverage!B8 = $2,190,562.40

=-SUM('E03 Trial Balance'!C29:C42)

E03 Trial Balance!C29 = ($61,240,000.00)

E03 Trial Balance!C30 = ($9,815,500.00)

E03 Trial Balance!C31 = $38,412,300.00

E03 Trial Balance!C32 = $14,286,900.00

E03 Trial Balance!C33 = $612,400.00

E03 Trial Balance!C34 = $9,874,200.00

E03 Trial Balance!C35 = $1,351,800.00

E03 Trial Balance!C36 = $1,103,800.00

E03 Trial Balance!C37 = $222,000.00

E03 Trial Balance!C38 = $505,800.00

E03 Trial Balance!C39 = $486,287.60

E03 Trial Balance!C40 = $1,351,000.00

E03 Trial Balance!C41 = $60,000.00

E03 Trial Balance!C42 = $598,450.00

Coverage!B9 = $598,450.00

='E03 Trial Balance'!C42

Coverage!B10 = $1,351,000.00

='E03 Trial Balance'!C40

Coverage!B11 = $60,000.00

='E03 Trial Balance'!C41

Source files and cells (the full formula chain is in the workbook and on the review screen):

FY2026 trial balance.xlsx · Trial Balance!C29, Trial Balance!C30, Trial Balance!C31, Trial Balance!C32, Trial Balance!C33, Trial Balance!C34

Original documents are attached to this PDF. The workbook is attached too.

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AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 5 · Debt Service

$4,848,450.00

Workbook: Coverage!B15

Draft figure · the engagement partner reviews it

Coverage!B15 = $4,848,450.00

=B13+B14

Coverage!B13 = $4,250,000.00

='Debt'!B16

Debt!B16 = $4,250,000.00

=C9+C13

Debt!C9 = $840,000.00

=12*'E05 Debt Schedule'!E9

E05 Debt Schedule!E9 = $70,000.00

Debt!C13 = $3,410,000.00

=C10+B12

Debt!C10 = $135,000.00

=9*'E05 Debt Schedule'!E10

E05 Debt Schedule!E10 = $15,000.00

Debt!B12 = $3,275,000.00

=B11-C10

Debt!B11 = $3,410,000.00

='E05 Debt Schedule'!J10

E05 Debt Schedule!J10 = $3,410,000.00

Coverage!B14 = $598,450.00

='Debt'!C19

Debt!C19 = $598,450.00

='E03 Trial Balance'!C42

E03 Trial Balance!C42 = $598,450.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

Debt schedule June 30 2026.xlsx · Debt Schedule!E9, Debt Schedule!E10, Debt Schedule!J10
FY2026 trial balance.xlsx · Trial Balance!C42

Original documents are attached to this PDF. The workbook is attached too.

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AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 5 · Debt Service Coverage Ratio (DSCR-01)

0.87 to 1.00

Workbook: Coverage!B16

Draft figure · the engagement partner reviews it

Coverage!B16 = 0.87 to 1.00
=ROUND(B12/B15,4)

Coverage!B12 = $4,200,012.40
=SUM(B8:B11)

Coverage!B8 = $2,190,562.40
=-SUM('E03 Trial Balance'!C29:C42)

E03 Trial Balance!C29 = ($61,240,000.00)

E03 Trial Balance!C30 = ($9,815,500.00)

E03 Trial Balance!C31 = $38,412,300.00

E03 Trial Balance!C32 = $14,286,900.00

E03 Trial Balance!C33 = $612,400.00

E03 Trial Balance!C34 = $9,874,200.00

E03 Trial Balance!C35 = $1,351,800.00

E03 Trial Balance!C36 = $1,103,800.00

E03 Trial Balance!C37 = $222,000.00

E03 Trial Balance!C38 = $505,800.00

E03 Trial Balance!C39 = $486,287.60

E03 Trial Balance!C40 = $1,351,000.00

E03 Trial Balance!C41 = $60,000.00

E03 Trial Balance!C42 = $598,450.00

Coverage!B9 = $598,450.00
='E03 Trial Balance'!C42

Coverage!B10 = $1,351,000.00
='E03 Trial Balance'!C40

Source files and cells (the full formula chain is in the workbook and on the review screen):

FY2026 trial balance.xlsx · Trial Balance!C29, Trial Balance!C30, Trial Balance!C31, Trial Balance!C32, Trial Balance!C33, Trial Balance!C34
Debt schedule June 30 2026.xlsx · Debt Schedule!E9, Debt Schedule!E10, Debt Schedule!J10

Original documents are attached to this PDF. The workbook is attached too.

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AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 5 · EBITDA Short of the Minimum (DSCR-01) ($1,860,550.10)

Workbook: Coverage!B19

Draft figure · the engagement partner reviews it

Coverage!B19 = ($1,860,550.10)
=B12-B18

Coverage!B12 = $4,200,012.40
=SUM(B8:B11)

Coverage!B8 = $2,190,562.40
=-SUM('E03 Trial Balance'!C29:C42)

E03 Trial Balance!C29 = ($61,240,000.00)

E03 Trial Balance!C30 = ($9,815,500.00)

E03 Trial Balance!C31 = $38,412,300.00

E03 Trial Balance!C32 = $14,286,900.00

E03 Trial Balance!C33 = $612,400.00

E03 Trial Balance!C34 = $9,874,200.00

E03 Trial Balance!C35 = $1,351,800.00

E03 Trial Balance!C36 = $1,103,800.00

E03 Trial Balance!C37 = $222,000.00

E03 Trial Balance!C38 = $505,800.00

E03 Trial Balance!C39 = $486,287.60

E03 Trial Balance!C40 = $1,351,000.00

E03 Trial Balance!C41 = $60,000.00

E03 Trial Balance!C42 = $598,450.00

Coverage!B9 = $598,450.00
='E03 Trial Balance'!C42

Coverage!B10 = $1,351,000.00
='E03 Trial Balance'!C40

Source files and cells (the full formula chain is in the workbook and on the review screen):

FY2026 trial balance.xlsx · Trial Balance!C29, Trial Balance!C30, Trial Balance!C31, Trial Balance!C32, Trial Balance!C33, Trial Balance!C34

Loan agreement - definitions and covenants.pdf · PDF page 1; Section 1.1 definitions, Section 6.1(a) reporting deadline and the Section 7 covenant levels

Debt schedule June 30 2026.xlsx · Debt Schedule!E9, Debt Schedule!E10, Debt Schedule!J10

Original documents are attached to this PDF. The workbook is attached too.

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AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 6 · Working Capital, as Classified

$2,469,312.65

Workbook: Working Capital!B10

Draft figure · the engagement partner reviews it

Working Capital!B10 = $2,469,312.65
=B8-B9

Working Capital!B8 = $19,336,012.65
=SUM('E03 Trial Balance'!C8:C13)

E03 Trial Balance!C8 = $4,182,652.65

E03 Trial Balance!C9 = $9,846,310.00

E03 Trial Balance!C10 = $3,912,450.00

E03 Trial Balance!C11 = $0.00

E03 Trial Balance!C12 = $1,108,200.00

E03 Trial Balance!C13 = $286,400.00

Working Capital!B9 = $16,866,700.00
=-SUM('E03 Trial Balance'!C19:C25)

E03 Trial Balance!C19 = ($6,214,880.00)

E03 Trial Balance!C20 = ($1,846,300.00)

E03 Trial Balance!C21 = ($412,770.00)

E03 Trial Balance!C22 = ($688,150.00)

E03 Trial Balance!C23 = ($1,954,600.00)

E03 Trial Balance!C24 = ($1,500,000.00)

E03 Trial Balance!C25 = ($4,250,000.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):
FY2026 trial balance.xlsx · Trial Balance!C8, Trial Balance!C9, Trial Balance!C10, Trial Balance!C11, Trial Balance!C12, Trial Balance!C13

DRAFT · NOT ISSUED

Original documents are attached to this PDF. The workbook is attached too.

AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 6 · Retainage Expected After June 30, 2027 (DEF-01)

$1,344,660.00

Workbook: Working Capital!B14

Draft figure · the engagement partner reviews it

Working Capital!B14 = $1,344,660.00

='E06 Retainage Aging'!F15

E06 Retainage Aging!F15 = $1,344,660.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

Retainage receivable aging June 30 2026.xlsx · Retainage Aging!F15

DRAFT · NOT ISSUED

Original documents are attached to this PDF. The workbook is attached too.

AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 6 · Working Capital Without It (DEF-01)

$1,124,652.65

Workbook: Working Capital!B15

Draft figure · the engagement partner reviews it

Working Capital!B15 = $1,124,652.65
=B10-B14

Working Capital!B10 = $2,469,312.65
=B8-B9

Working Capital!B8 = $19,336,012.65
=SUM('E03 Trial Balance'!C8:C13)

E03 Trial Balance!C8 = $4,182,652.65

E03 Trial Balance!C9 = $9,846,310.00

E03 Trial Balance!C10 = $3,912,450.00

E03 Trial Balance!C11 = $0.00

E03 Trial Balance!C12 = $1,108,200.00

E03 Trial Balance!C13 = $286,400.00

Working Capital!B9 = $16,866,700.00
=-SUM('E03 Trial Balance'!C19:C25)

E03 Trial Balance!C19 = ($6,214,880.00)

E03 Trial Balance!C20 = ($1,846,300.00)

E03 Trial Balance!C21 = ($412,770.00)

E03 Trial Balance!C22 = ($688,150.00)

E03 Trial Balance!C23 = ($1,954,600.00)

E03 Trial Balance!C24 = ($1,500,000.00)

E03 Trial Balance!C25 = ($4,250,000.00)

Working Capital!B14 = $1,344,660.00
='E06 Retainage Aging'!F15

E06 Retainage Aging!F15 = $1,344,660.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

FY2026 trial balance.xlsx · Trial Balance!C8, Trial Balance!C9, Trial Balance!C10, Trial Balance!C11, Trial Balance!C12, Trial Balance!C13
Retainage receivable aging June 30 2026.xlsx · Retainage Aging!F15

Original documents are attached to this PDF. The workbook is attached too.

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AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 7 · Capital Expenditures

$1,428,000.00

Workbook: Capex!B17

Draft figure · the engagement partner reviews it

Capex!B17 = $1,428,000.00

=SUM(B9:B15)

Capex!B9 = $412,000.00

='E07 Asset Register'!F9

E07 Asset Register!F9 = $412,000.00

Capex!B10 = $186,500.00

='E07 Asset Register'!F10

E07 Asset Register!F10 = $186,500.00

Capex!B11 = $338,000.00

='E07 Asset Register'!F11

E07 Asset Register!F11 = $338,000.00

Capex!B12 = $148,750.00

='E07 Asset Register'!F12

E07 Asset Register!F12 = $148,750.00

Capex!B13 = $96,600.00

='E07 Asset Register'!F13

E07 Asset Register!F13 = $96,600.00

Capex!B14 = $84,150.00

='E07 Asset Register'!F14

E07 Asset Register!F14 = $84,150.00

Capex!B15 = $162,000.00

='E07 Asset Register'!F15

E07 Asset Register!F15 = $162,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

FY2026 fixed asset register.xlsx · Fixed Asset Register!F9, Fixed Asset Register!F10, Fixed Asset Register!F11, Fixed Asset Register!F12, Fixed Asset Register!F13, Fixed Asset Register!F14

Original documents are attached to this PDF. The workbook is attached too.

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AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 7 · Under the Limit

$322,000.00

Workbook: Capex!B19

Draft figure · the engagement partner reviews it

Capex!B19 = $322,000.00

=B18-B17

Capex!B18 = $1,750,000.00

='E02 Loan Agreement'!B12

E02 Loan Agreement!B12 = $1,750,000.00

Capex!B17 = $1,428,000.00

=SUM(B9:B15)

Capex!B9 = $412,000.00

='E07 Asset Register'!F9

E07 Asset Register!F9 = $412,000.00

Capex!B10 = $186,500.00

='E07 Asset Register'!F10

E07 Asset Register!F10 = $186,500.00

Capex!B11 = $338,000.00

='E07 Asset Register'!F11

E07 Asset Register!F11 = $338,000.00

Capex!B12 = $148,750.00

='E07 Asset Register'!F12

E07 Asset Register!F12 = $148,750.00

Capex!B13 = $96,600.00

='E07 Asset Register'!F13

E07 Asset Register!F13 = $96,600.00

Capex!B14 = $84,150.00

='E07 Asset Register'!F14

E07 Asset Register!F14 = $84,150.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

Loan agreement - definitions and covenants.pdf · PDF page 1; Section 1.1 definitions, Section 6.1(a) reporting deadline and the Section 7 covenant levels

FY2026 fixed asset register.xlsx · Fixed Asset Register!F9, Fixed Asset Register!F10, Fixed Asset Register!F11, Fixed Asset Register!F12, Fixed Asset Register!F13, Fixed Asset Register!F14

Original documents are attached to this PDF. The workbook is attached too.

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AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 8 · Days Before the Reporting Deadline

5 days

Workbook: Reporting!B12

Draft figure · the engagement partner reviews it

Reporting!B12 = 5 days

=B10-B11

Reporting!B10 = October 28, 2026

=B8+B9

Reporting!B8 = June 30, 2026

='E02 Loan Agreement'!B14

E02 Loan Agreement!B14 = June 30, 2026

Reporting!B9 = 120 days

='E02 Loan Agreement'!B13

E02 Loan Agreement!B13 = 120 days

Reporting!B11 = October 23, 2026

='E08 Bank Receipt'!B13

E08 Bank Receipt!B13 = October 23, 2026

Source files and cells (the full formula chain is in the workbook and on the review screen):

Loan agreement - definitions and covenants.pdf · PDF page 1; Section 1.1 definitions, Section 6.1(a) reporting deadline and the Section 7 covenant levels

FY2026 reporting package received.eml · From, To, Date, Subject and the text body; the date the bank received the reporting package

DRAFT · NOT ISSUED

Original documents are attached to this PDF. The workbook is attached too.

AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 9 · Coverage Ratio on the Certificate (CERT-01)

2.67 to 1.00

Workbook: Certificate!B10

Draft figure · the engagement partner reviews it

Certificate!B10 = 2.67 to 1.00

='E09 Certificate'!B10

E09 Certificate!B10 = 2.67 to 1.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

FY2026 compliance certificate.pdf · PDF page 1; the borrower’s covenant results, supporting amounts, footnote and signature

DRAFT · NOT ISSUED

Original documents are attached to this PDF. The workbook is attached too.

AGREED-UPON PROCEDURES · FOLLOW THE EVIDENCE

Procedure 9 · Left Out of the Certificate's Debt Service (CERT-01)

($3,275,000.00)

Workbook: Certificate!D14

Draft figure · the engagement partner reviews it

Certificate!D14 = ($3,275,000.00)

=B14-C14

Certificate!B14 = $1,573,450.00

='E09 Certificate'!B22

E09 Certificate!B22 = $1,573,450.00

Certificate!C14 = $4,848,450.00

='Coverage'!B15

Coverage!B15 = $4,848,450.00

=B13+B14

Coverage!B13 = $4,250,000.00

='Debt'!B16

Debt!B16 = $4,250,000.00

=C9+C13

Debt!C9 = $840,000.00

=12*'E05 Debt Schedule'!E9

E05 Debt Schedule!E9 = $70,000.00

Debt!C13 = $3,410,000.00

=C10+B12

Debt!C10 = $135,000.00

=9*'E05 Debt Schedule'!E10

E05 Debt Schedule!E10 = $15,000.00

Debt!B12 = $3,275,000.00

=B11-C10

Debt!B11 = $3,410,000.00

='E05 Debt Schedule'!J10

Source files and cells (the full formula chain is in the workbook and on the review screen):

FY2026 compliance certificate.pdf · PDF page 1; the borrower’s covenant results, supporting amounts, footnote and signature
Debt schedule June 30 2026.xlsx · Debt Schedule!E9, Debt Schedule!E10, Debt Schedule!J10
FY2026 trial balance.xlsx · Trial Balance!C42

Original documents are attached to this PDF. The workbook is attached too.

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MATTERS FOR THE BANK AND THE ENGAGEMENT PARTNER

DSCR-01 · $3,275,000.00: Exception. The Debt Service Coverage Ratio computed as Section 1.1 defines it is 0.87 to 1.00, below the 1.25 to 1.00 minimum in Section 7.3. Current maturities of $4,250,000.00 include the $3,275,000.00 due at maturity on April 1, 2027 under the shop and yard note, which the definition includes. EBITDA of $6,060,562.50 would have been needed. The report states the finding; whether it is an Event of Default, and any waiver, is for the bank.

CERT-01 · $3,275,000.00: The borrower's compliance certificate reports a Debt Service Coverage Ratio of 2.67 to 1.00 and marks Section 7.3 as met. Its debt service of $1,573,450.00 leaves out the $3,275,000.00 payment due April 1, 2027, as its footnote says. Every other amount on the certificate agrees with the procedures.

DEF-01 · $1,344,660.00: Question for the bank. Section 1.1 defines Current Assets by GAAP classification. The balance sheet classifies all $3,912,450.00 of retainage receivable as current under the operating cycle; the aging expects $1,344,660.00 after June 30, 2027. Working Capital is $2,469,312.65 as classified, above the $2,000,000.00 minimum, and would be $1,124,652.65 without that retainage, below it. The engagement letter says a definition that does not decide a question is reported with both amounts; the bank says which reading it intends.

LEV-01 · $134,081.63: For information. Total Liabilities to Tangible Net Worth is 2.48 to 1.00, 0.02 under the 2.50 to 1.00 maximum in Section 7.2: liabilities $134,081.63 higher at the same net worth would have reached it. No exception.

REP-01: Written representations from HANGS General Contracting LP have not been obtained. The engagement partner requests them, dated as of the report date, before the report is issued.

SIGN-01: This is a draft agreed-upon procedures report for the engagement partner. It states findings only and gives no opinion or conclusion. It is not signed or dated, and nothing has been sent to the bank or the borrower.

This is a draft for the engagement partner. It states findings only and gives no opinion or conclusion; nothing has been signed, dated or sent.

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